

“Risk comes from not knowing what you’re doing.”

Warren Buffet, US billionaire investor

LIFESTYLING

This is an investment strategy that changes the ratio of different assets according to an individual's age. Moving money from higher-risk to lower-risk investments can be preset to happen automatically. For example, when young an investor may put 100 per cent of assets into high-risk investments such as futures. But more and more of their funds will transfer into safer, less risky investments such as government bonds as retirement nears.



Shares

Higher risk, potential for higher income

- › **Ordinary** See pp.182–183
- › **Preference** See pp.164–165
- › **Options** See pp.52–53
- › **Futures** See pp.52–53
- › **Units in managed share funds** See pp.168–169



Property

Medium risk, potential for steady income

- › **Rent from residential, commercial, industrial** See pp.170–171
- › **Profit from buying and selling** See pp.176–179



Interest-paying

Lower risk, potential for some income

- › **Savings accounts** See pp.166–167
- › **Term deposits** See right
- › **Debentures** See right
- › **Bonds** See pp.166–167



NEED TO KNOW

- › **Term deposits** A cash investment held at a bank or financial institution for a fixed term, usually between a month and a few years. Traditionally offer slightly higher interest rates than ordinary savings accounts.
- › **Debentures** A long-term security issued by a company, yielding a fixed rate of interest. In the UK, debentures are secured against company assets; in the US they are unsecured.